EXECUTIVE BUSINESS REPORT

FASHIONWAVE Retail Sales Performance

Strategic Performance Analysis, Margin Optimization & Growth Strategy across 50 Retail Outlets



Prepared By: **Business Intelligence & Analytics Division**

Analysis Period: **November 2023 – November 2025**

Industry / Sector: **Fashion Industry Retail Chain**

Dataset Scope: **15,000 Transactions**

Strategic Project Objectives

Data-driven roadmap to capture weekend demand, optimize discounting, and expand high-margin categories.

Capture Weekend Sales Gap

Identify the gap between weekday and weekend performance and determine opportunities to improve weekend revenue.

Optimize Discounting Strategy

Evaluate the relationship between discount levels, transaction behavior and profitability to develop a more effective promotional strategy.

Category Cost Restructuring

Assess category-level revenue, volume and margin performance to identify opportunities for portfolio and cost optimization.

KEY KPIs TRACKED:

Net Revenue • Net Profit • Profit Margin % • Total Transactions • Units Sold • Average Order Value (AOV)

Executive Performance Dashboard

2-Year consolidated sales performance summary.

NET REVENUE

₹192.98M

₹19,29,83,284 Total Sales Volume

NET PROFIT

₹139.96M

₹13,99,59,812 Net Profit

OVERALL PROFIT MARGIN

72.52%

Exceptional Retail Profitability

TOTAL TRANSACTIONS

15,000

Across 50 Retail Outlets

TOTAL UNITS SOLD

40,283

Clothing, Shoes & Accessories SKUs

AVERAGE ORDER VALUE (AOV)

₹12,866

Weekend AOV Peak: ₹15,162

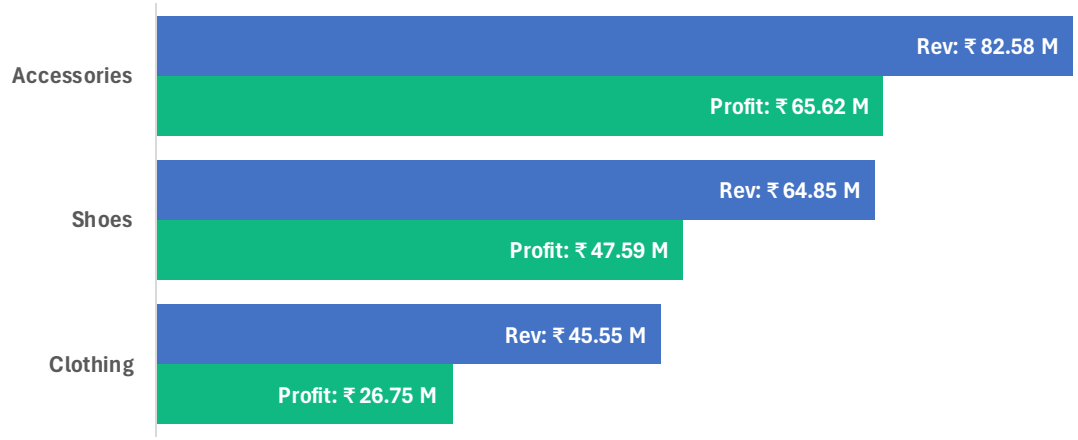
ANALYSIS FLOW:

Product Category → Weekend vs Weekday → Discount → Stores → Customers → Portfolio → Seasonality → Recommendations

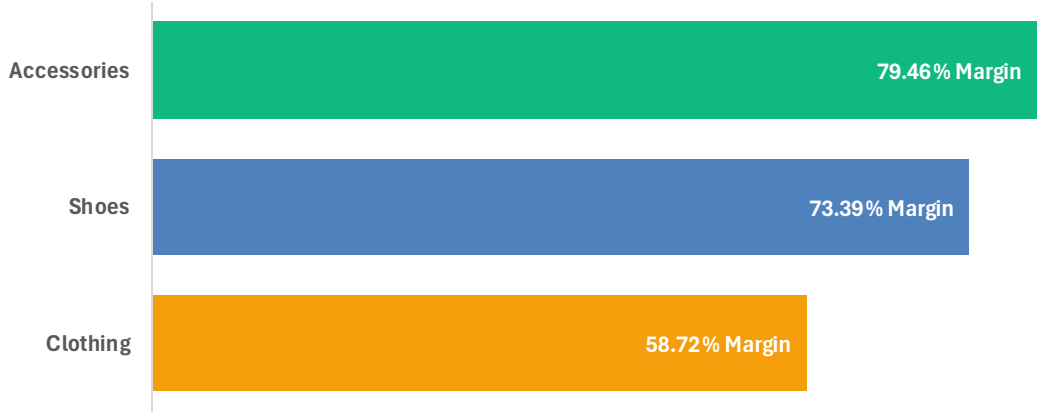
Q1. Which Product Categories Generate The Highest Revenue And Profit?

Evaluating net revenue contribution and profit margin variance across core retail categories

Net Revenue and Net Profit by Category (in ₹M)



Profit Margin by Category (in %)



Accessories Category Leader

Generates ₹65.62M profit at 79.46% margin with 5,147 units sold. Contains 13 of the top 15 most profitable products in the store.

Shoes Solid Performer

Delivers ₹47.59M profit at 73.39% margin (16,113 units sold). Highly effective for bundling and cross-selling with accessories.

Clothing Cost Restructuring

Margins lag at 58.72% (~20 points below Accessories) probably due to higher manufacturing & sourcing costs (19,023 units sold). Requires supplier review.

Q2. How do weekend sales compare to weekday sales? Identify patterns

Quantifying weekend performance gap and analyzing root drivers

WEEKDAY

₹126.89M

Net Revenue

65.8% Revenue Share

Net Profit:	₹91.93M
AOV:	₹11,924.59
Units Sold:	34,167 Units
Orders:	10,641 Transactions

WEEKEND

₹66.09M

Net Revenue

34.2% Revenue Share

Net Profit:	₹48.03M
AOV:	₹15,162.58
Units Sold:	7,808 Units
Orders:	4,359 Transactions

KEY PERFORMANCE DRIVERS & VARIANCE

Average Order Value (AOV):	+27% ▲
Transactions (Orders):	-59% ▼
Revenue:	-48% ▼
Weekend-to-Weekday Revenue Gap Ratio:	52.1%

Daily Revenue Deficit

Weekend customers spend 27% more per order (₹15,163 vs ₹11,925), but 59% fewer transactions (4,359 vs 10,641) limit daily revenue to just 52.1% of weekday levels.

Footfall Mismatch

Store visits drop significantly on weekends probably due to window-shopping behavior and unoptimized weekend store staffing levels.

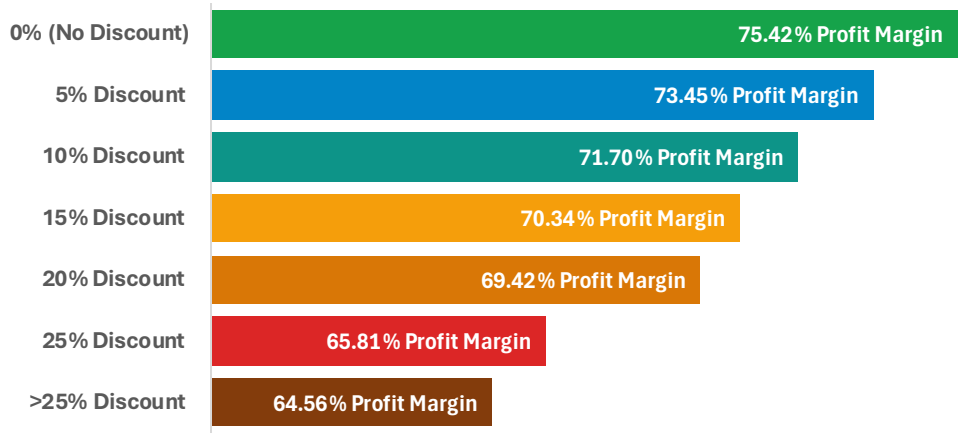
Growth Strategy

Deploy Friday afternoon WhatsApp/SMS teasers, host "Weekend Styling Pop-ups", and award 2x Gold Loyalty Points on Sat/Sun to convert footfall into transactions.

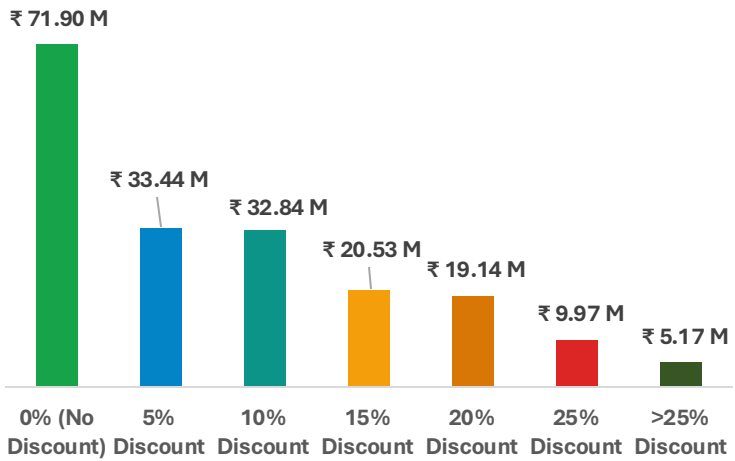
% Q3. What is the impact of discounting on profit margins?

Analyzing margin erosion across discount brackets to establish an efficient discounting policy.

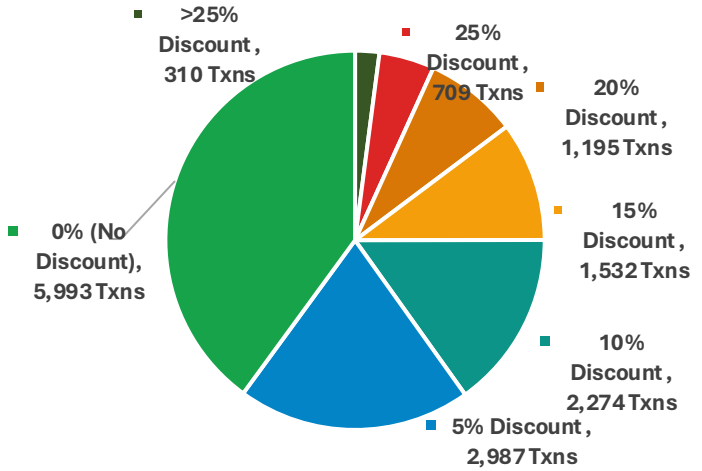
Profit Margin Erosion across Discount Tiers



Net Revenue by Discount %



Transaction Share by Discount %



What is the financial impact of discounting on profit margins, and how can pricing be optimized?

Steep Margin Erosion Slope

- ✓ Profit Margin: 75.42% → 64.56%
- ✓ Margin erosion: 10.86 percentage points (i.e., approx.0.4% points per 1% discount)
- ✓ Higher discounts reduce profitability without proportional gains.

High Discount Dependency

- ✓ 60%+ of transactions include promotional discounts.
- ✓ Average discount level exceeds 12%.
- ✓ Frequent discounting reduces overall profitability.

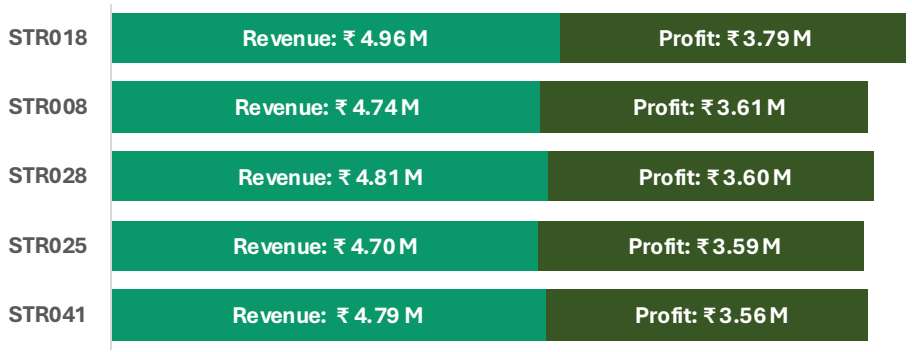
Strategic Policy Recommendation

- ✓ Set 15% as the maximum routine discount
- ✓ Shift repeat customers toward loyalty reward points
- ✓ Protect high-margin baselines by reducing reliance on deep discounts.

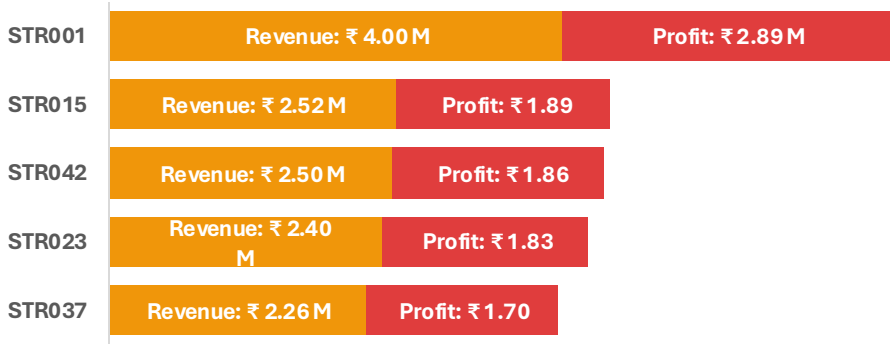
Q4. Which stores are underperforming, and why might that be?

Comparative revenue & profit analysis across 50 retail locations to eliminate store-level variance

Top 5 Performing Stores (Revenue & Profit)



Bottom 5 Underperforming Stores (Revenue & Profit)



Store ID	Units Sold	Transactions	Profit Margin %	Avg Order Value
STR018	1,155	322	76.43%	₹15,413.46
STR008	1,173	317	76.10%	₹14,954.08
STR028	1,170	322	74.82%	₹14,931.54
STR025	1,116	316	76.27%	₹14,882.99
STR041	1,168	337	74.32%	₹14,226.20

Store ID	Units Sold	Transactions	Profit Margin %	Avg Order Value
STR001	1,033	291	72.21%	₹13,739.20
STR015	611	294	75.03%	₹8,579.73
STR042	621	289	74.49%	₹8,655.91
STR023	547	269	76.40%	₹8,921.73
STR037	582	282	75.26%	₹7,997.06

Performance Spread

- ✓ Top 5 stores average ₹4.81M Revenue and ₹3.63M Profit per store.
- ✓ ₹14,881 AOV, with average profit margins of 75.3%.

Volume & Basket Bottleneck

- ✓ Bottom stores maintain healthy 72.2%–76.4% profit margins.
- ✓ Lower transaction volumes (269–294 vs 316–337) and smaller basket sizes, with AOV of ₹7,997–₹8,922 limits profit potential.

Turnaround Action

- ✓ Reallocate digital ad spend to Tier-2/3 stores.
- ✓ Train regional staff to cross-sell high-margin accessories
- ✓ Lift AOV toward the ₹12,000 baseline.

EXECUTIVE DIRECTIVE: STR037, the lowest-profit store, generates 55.3% less Net Profit than STR018 (₹1.70M vs ₹3.79M), despite healthy 75.3% margin. The gap is driven by lower transaction volume and smaller basket sizes—not margin erosion.

Q5. Segment customers based on purchase behavior and suggest targeted strategies?

Categorizing buyers to maximize customer lifetime value and drive repeat purchase frequency

Returning Customers (Core Segment)

70.9% Revenue Share

Financial Contribution: ₹136.8M Net Revenue | **₹99.4M Net Profit**

Volume & Reach: 10,562 Transactions (70.4% of total transaction volume).

Behavioral Traits: High brand loyalty, multi-category baskets, lower discount sensitivity.

Retention Action: VIP FashionWave Gold tier, birthday store credit (5–10%), early seasonal access.

New Customers (Acquisition Segment)

29.1% Revenue Share

Financial Contribution: ₹56.2M Net Revenue | **₹40.6M Net Profit**

Volume & Reach: 4,438 Transactions (29.6% of total transaction volume).

Behavioral Traits: First-time shoppers; high sensitivity to welcome promotional incentives.

Onboarding Action: 10% welcome discount, automated post-purchase email nurture, referral bonuses.

VIP Gold Tier Rewards

Implement point-based rewards (1 point per ₹100 spent) instead of cash discounts to retain high margin baselines for returning buyers.

Automated Nurture Series

Deploy automated WhatsApp/email triggers at Day 7, 30, and 60 post-first purchase to increase frequency of 2nd purchases.

Referral Incentives

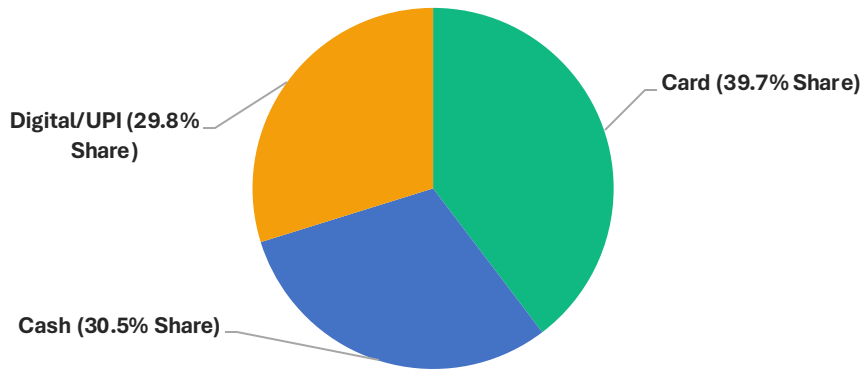
Offer existing VIP customers ₹500 in loyalty points for referring new shoppers, lowering customer acquisition cost (CAC) significantly.

STRATEGIC IMPERATIVE: Retention is the primary driver of profitability. A 5% increase in returning customer retention yields a disproportionate profit expansion given their 71% total profit contribution.

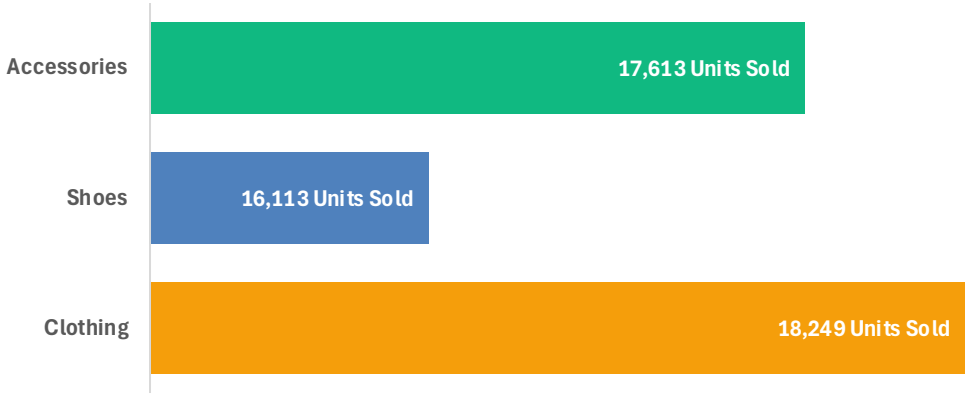
Payment Modes, Category Units & Portfolio Deep Dive

Analyzing payment channel economics, volume mix, and top-performing SKU profitability

Payment Mode Revenue Share



Unit Sold by Category



Payment Mix Concentration

- ✓ 69.5% of revenue comes from Card + Digital/UPI
- ✓ Cash still contributes 30.5%, leaving room for digital migration
- ✓ Shift more transactions toward Digital/UPI while maintaining the Card-led base.

Volume is Balanced, Profitability is Not

- ✓ Clothing leads with 18,249 units, only 3.5% above Accessories
- ✓ Clothing margin: 58.72% vs Accessories: 79.46%
- ✓ 20.74% margin gap shows profitability depends more on category mix than volume

Portfolio Mix Opportunity

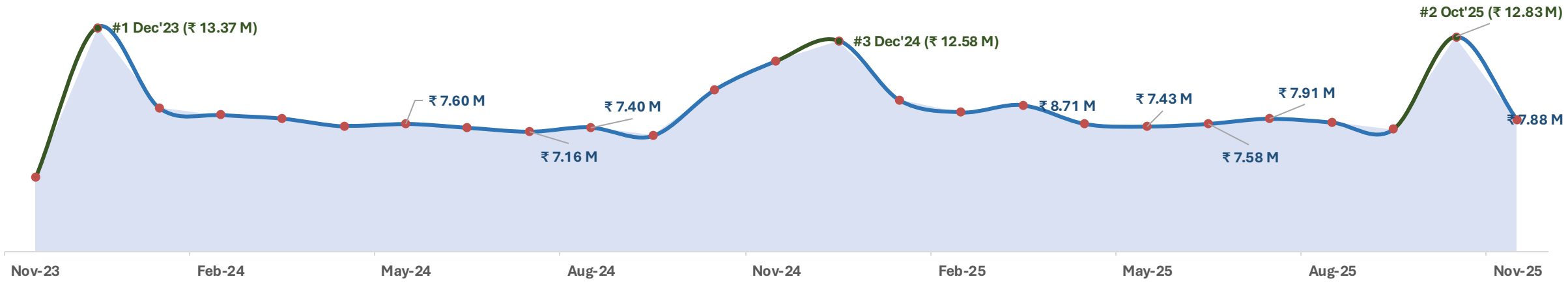
- ✓ Accessories combines near-leading volume with the highest profitability
- ✓ Clothing = volume driver but lowest category economics
- ✓ Cross-sell Accessories with Clothing to increase profit contribution without sacrificing volume

PORTFOLIO TAKEAWAY: Use Clothing as the volume driver and Accessories as the profit engine, while increasing Digital/UPI adoption to strengthen customer engagement.

Monthly Revenue Trend — Nov 2023 To Nov 2025

Analyzing 24-month revenue trends to identify seasonal peaks and guide inventory and promotional planning.

Monthly Revenue Trend (Nov 23 - Nov 25 in ₹ Millions)



SEASONAL PEAK DRIVERS

- ✓ **#1st Peak — Dec '23 (₹13.37M):** Highest overall revenue month, driven by Year-End celebrations, holiday gifting, and winter collection rollouts.
- ✓ **#2nd Peak — Oct '25 (₹12.83M):** Driven by the pre-festive surge (Navratri, Dussehra, and Diwali prep).
- ✓ **#3rd Peak — Dec '24 (₹12.58M):** Secondary Year-End shopping peak

SEASONAL INFERENCES & ACTIONABLE STRATEGY:

- ✓ **Q4 Concentration:** Q4 (Oct–Dec) consistently generates ~33% of annual sales, making early inventory buildup by August critical to prevent stockouts of fast-moving SKUs.
- ✓ **Off-Peak Clearance Window:** The slow Q1 period (Jan–Mar) and mid-monsoon months (Jul–Aug averaging ~₹7.2M–₹7.9M) represent ideal windows for inventory clearance sales and new customer onboarding campaigns.

Actionable Growth Roadmap

Phased implementation timeline for immediate quick wins and sustained strategic initiatives

Quick Wins (0–3 Months)

- ✓ **Discount Policy Reform:** Implement tier caps (0% on star SKUs, max 5–10% on volume items, 15% clearance cap) to protect margin baselines.
- ✓ **Weekend Push:** Launch Friday afternoon WhatsApp/SMS teasers and weekend styling pop-ups to capture the ₹60.8M revenue gap.
- ✓ **Weekend Staffing Adjustment:** Align sales staff schedules with weekend traffic spikes to leverage the higher ₹15,162 weekend AOV.
- ✓ **Accessories SKU Expansion:** Expand Accessories SKU display mix across all 50 retail store locations
- ✓ **Underperformer Turnaround:** Deploy targeted digital ad budgets for underperforming stores.

Long-Term Initiatives (3–12 Months)

- ✓ **Clothing Cost Structure Audit:** Audit manufacturing & sourcing costs for clothing to lift category margin from 58.7% toward 65%+.
- ✓ **VIP Loyalty Rollout:** Launch "FashionWave Gold" tiered loyalty program for returning customers (who generate 71% of net profit).
- ✓ **Predictive Replenishment:** Implement automated inventory forecasting modeling to prevent stockouts of top-selling star products.
- ✓ **Strategic Bundle Cross-Selling:** Pair footwear purchases with high-margin accessories to boost average basket sizes.
- ✓ **Store Manager Accountability:** Enforce quarterly store-level P&L evaluations with performance incentives for all 50 store managers.

Thank You | Questions & Discussion

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